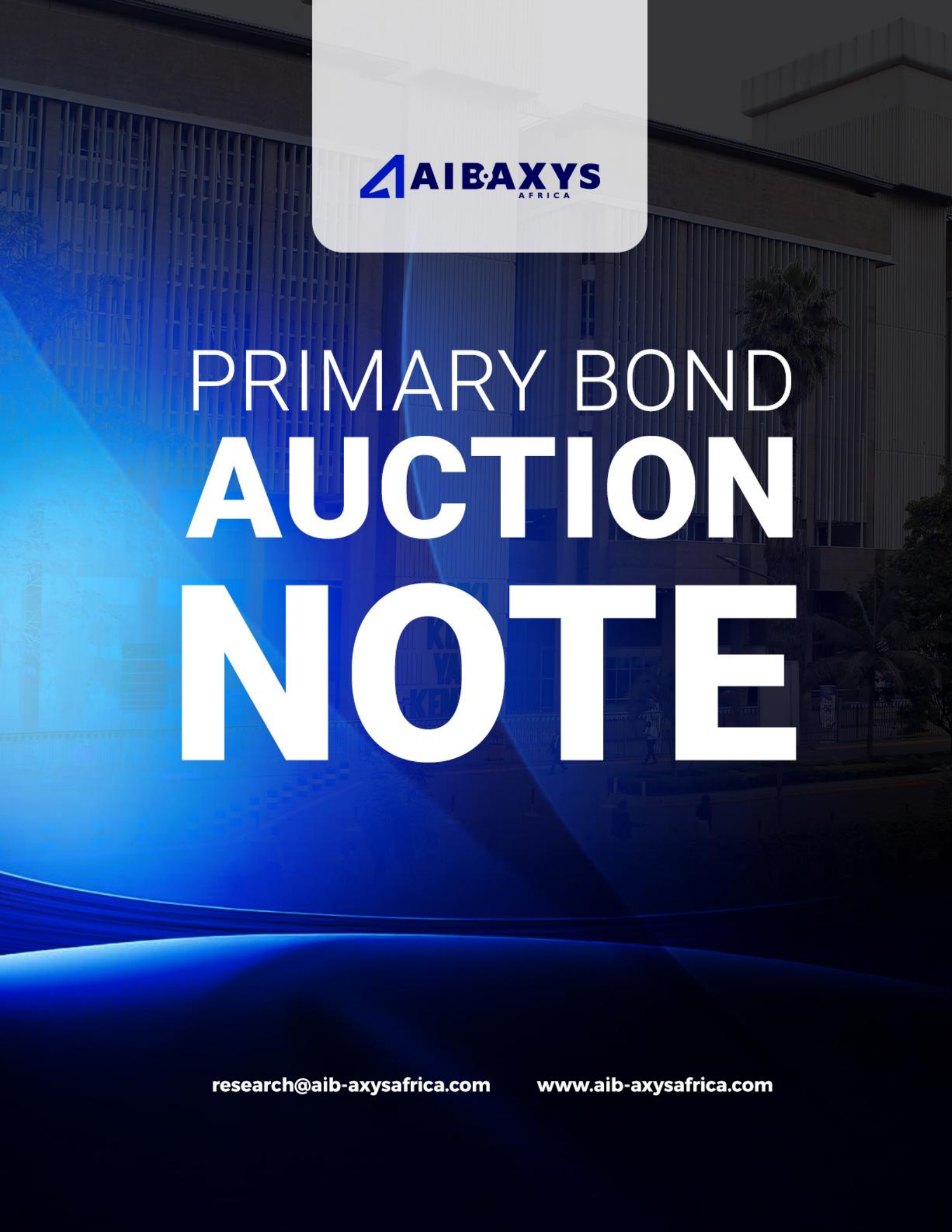

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AUCTION
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AIB-AXYS January 2026 Primary Bond Auction Note

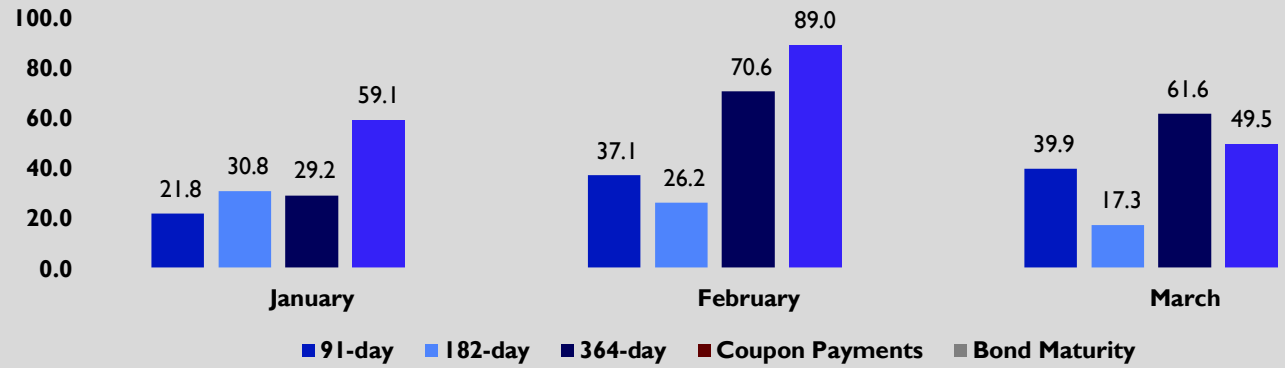
Summary

- **The Exchequer is seeking to raise KES 60.00Bn through the re-opening of the FXD1/2019/020 & FXD1/2022/025** treasury bonds earmarked for budgetary support in FY25/26.
- In January, the government is facing approximately KES 140.9 Bn in debt obligations. In this auction, we expect investor appetite to be skewed towards the FXD1/2022/025 issue, which has a higher coupon, given the falling yield environment. We expect heavy subscriptions, similar to the last auction in 2025, where the issue received KES 82.14 Bn.
- The government has continued to lag behind its revenue target, which compels it to rely on the debt market to bridge the deficit. (We expect a downward revision of the revenue target in the supplementary budget.) With the expectation of relying on the debt market, the government is likely to maintain its pattern of rejecting aggressive bids in an effort to tame the cost of debt.
- **Our recommended competitive bidding yield on the paper is indicated in Table 1 on the right.**

Table 1: Key Auction Highlights

FXD1/2019/020 & FXD1/2022/025	
Issuer:	Republic of Kenya
Total Amount:	KES 60.0 billion
Purpose:	Budgetary Support
Tenor:	**FXD1/2019/020**- (13.2 Years)– Re-opened **FXD1/2022/025**- (21.8 Years)– Re-opened
Coupon Rate:	**FXD1/2019/020** – 12.8730% **FXD1/2022/025** – 14.1880%
Price Quote:	Discounted/Premium/Par
Period of sale:	9th-Dec-2025 to 7th-Jan-2026
Minimum Amount:	KES 50,000.00
Taxation:	10.00%
Maturity Dates:	**FXD1/2019/020**– 21st-March-2039 **FXD1/2022/025**– 23rd-September-2047
Non-competitive bids per CSD A/C:	Maximum KES 50 million per CDS A/c
Competitive bid per CSD A/C:	Minimum KES 2 million per CDS A/c
AIB-AXYS Competitive Bidding Range Recommendation:	**FXD1/2019/020** – 12.93%-13.13% **FXD1/2022/025** –13.61%-13.81%

Governmnent Obligations Q1 2026 in KES Bn



Term Structure of Interest Rates

Going by the last full trading week of 2025, the short end of the curve witnessed the most pronounced declines, averaging approximately 213.95 bps on a YTD basis, while the long end of the curve registered notable declines of about 119.81 bps, relatively lower compared to the middle section of the curve, which eased by an average of 169.98 bps. With a low-interest-rate environment, we are of the view that yields will continue to decline in 2026. In addition, inflation is expected to remain within the CBK's target, which gives the Monetary Policy Committee scope for further easing of monetary policy. We expect additional rate cuts in 2026, although the magnitude is likely to be lower compared to last year, which would consequently push yields lower.

We expect continued normalization of the yield curve through upward steepening, as declines at the front end of the curve have had the greatest impact on yield curve normalization. In addition, as the government seeks to contain the cost of debt, this is further expected to push yields lower.

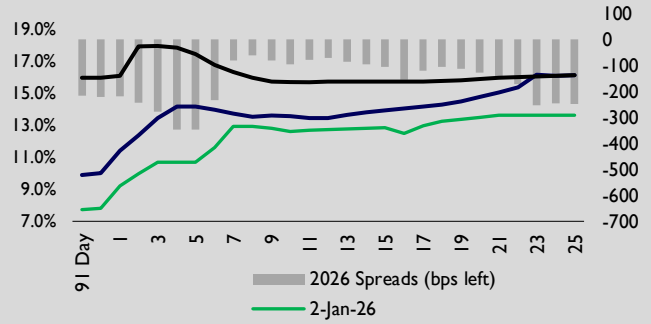
Market Liquidity

Kenya Shilling Overnight Interbank Average (KESONIA) eased further by 23 bps to 9.1% from 9.24% in November, in line with the 25 bps cut in the Central Bank Rate in December, which was widely expected. Given the 75 bps interest rate corridor, we expect KESONIA to track the CBR closely. Additionally, trading activity declined by 7.4%, which we partly attribute to a slowdown in activity as festive activities heightened during the period.

Price Levels

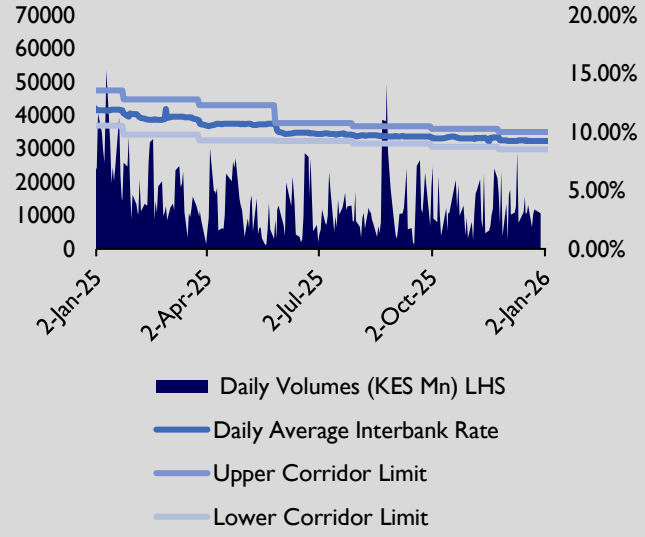
December's inflation remained unchanged from November's level at 4.5%, in line with our in-house expectations of 4.4% to 4.7%. On a month-on-month basis, the CPI rose by 0.6%, from 147.08 in November to 148.02 in December. Core inflation eased further to 2.0%, while non-core inflation increased to 11.2%, driven by higher food and transport prices. Going forward, we expect inflation to remain stable within CBK's target range of between 2.5% - 7.5%, supported by stable energy prices in the country. The main risk remains any escalation of geopolitical tensions in oil-producing regions, which could impact oil prices. With inflation remaining stable, the Monetary Policy Committee has scope to further cut rates in 2026 and maintain a dovish stance.

Chart 2: Domestic Yield Curve Evolution



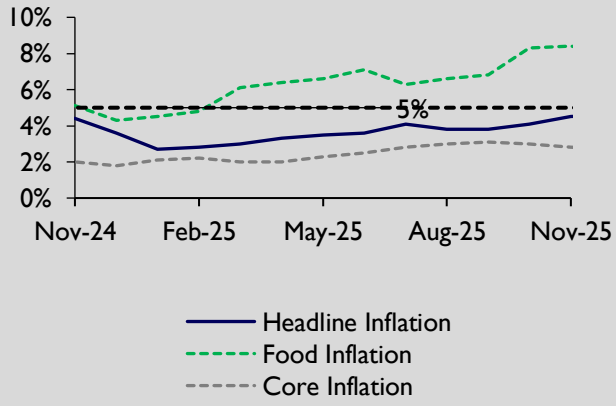
Source: CBK, AIB-AXYS Africa Research

Chart 3: Interbank Rate and Volumes



Source: CBK, AIB-AXYS Africa Research

Chart 4: Price Levels

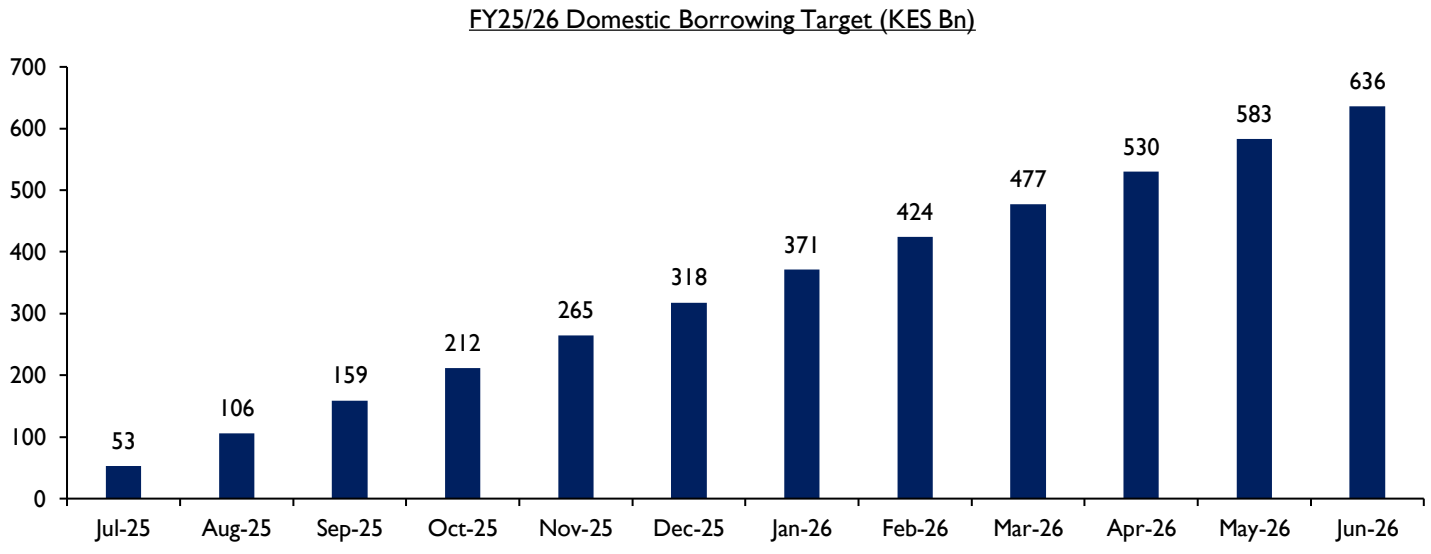


Kenya National Bureau of Statistics, AIB-AXYS Africa Research

Table 2: Comparable Bond Duration Yields

Issue No.	Maturity Date	Remaining Tenor in Years	Outstanding Amount KES Mn.	Fixed Coupon Rate	Implied Yield to Maturity
Comparable Yields for the FXD1/2019/020 - (13.2 Years)					
FXD2/2018/020	5-July-2038	12.54	89,198.60	13.2000%	12.7746%
FXD1/2019/020	**21-Mar-2039**	**13.2**	**83,350.00**	**12.8730%**	**12.8025%**
SDB1/2011/030	21-Jan-2041	15.1	44,309.78	12.0000%	12.8753%
Comparable Yields for the FXD1/2022/025 - (21.8 Years)					
FXD1/2021/025	9-April-2046	20.3	90,490.00	13.9240%	13.5454%
FXD1/2021/025	**23-Sep-2047**	21.8	175,648.09	**14.1880%**	**13.7388%**

Source: CBK, AIB-AXYS Africa Research



Source: CBK, AIB-AXYS Africa Research

CBK Previous Primary Bond Auctions

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)	Deviation from Yield Curve
Feb-25	70,000	IFB1/2022/014 Re-opened	11.8		13.938%	14.086%	13.978%	27
		IFB1/2023/017 Re-opened	15.1	**277.0%**	14.399%	14.416%	14.281%	118.5
Mar-25	25,000	FXD1/2018/025 Re-opened	18.3	**188.1%**	13.400%	13.938%	13.803%	51
Apr-25	70,000	FXD1/2020/015 Re-opened	9.9		12.756%	13.671%	13.665%	82.39
		FXD1/2022/015 Re-opened	12.1		13.942%	13.837%	13.828%	124.3
		FXD1/2022/025 Re-opened	22.6	**102.5%**	14.188%	14.237%	14.234%	65.33
	10,000	FXD1/2020/015 Tap-sale	9.9	**132.4%**	12.756%			
May-25	50,000	FXD1/2022/015 Re-opened	12.0		13.942%	13.942%	13.913%	145.42
		FXD1/2022/025 Re-opened	22.5	**114.2%**	14.188%	14.636%	14.538%	130.24
	30,000	FXD1/2012/020 Re-opened	7.6	**181.3%**	12.000%	13.733%	13.649%	137.9
Jun-25	50,000	FXD1/2020/015 Re-opened	9.7		12.756%	13.606%	13.487%	70.9
		SDB1/2011/030 Re-opened	15.7	**202.7%**	12.000%	14.181%	13.998%	152.55
Jul-25	50,000	FXD1/2018/020 Re-opened	12.8		13.200%	13.945%	13.899%	140.19
		FXD1/2018/025 Re-opened	18.0	**153.8%**	13.400%	14.435%	14.348%	137.85
Aug-25	90,000	IFB1/2028/015 Re-opened	7.5		12.500%	13.530%	12.993%	44.52
		IFBI/2022/019 Re-opened	15.6	**359.4%**	12.965%	14.237%	13.999%	41.5
		IFB1/2028/015 Tapsale	7.5		12.000%	13.530%		
		IFBI/2022/019 Tapsale	15.6	**414.9%**	12.965%	14.237%		
Sep-25	40,000	FXD1/2018/020 Re-opened	12.5		13.200%	13.724%	13.080%	64.4
		FXD1/2022/025 Re-opened	22.2	**243.2%**	14.188%	14.246%	12.782%	146.4
Oct-25	50,000	FXD1/2018/015 Re-opened	7.7		12.750%	12.652%	12.385%	26.7
		FXD1/2021/020 Re-opened	15.9	**237.8%**	13.444%	13.529%	13.310%	21.8
Nov-25	40,000	FXD1/2012/020 Re-opened	7.0		12.000%	12.638%	12.471%	16.8
		FXD1/2022/015 Re-opened	11.4	**232.3%**	13.994%	13.467%	13.339%	-53
	40,000	FXD3/2018/015 Re-opened	8.7		12.340%	12.574%	12.746%	23
		FXD1/2022/025 Re-opened	21.9	**289.7%**	14.188%	13.848%	13.746%	-34
Dec-25	40,000	SDB1/2011/030 Re-opened	15.2		12.000%	13.439%	13.325%	-144
		FXD1/2021/025 Re-opened	20.4	**132.8%**	13.924%	13.643%	13.620%	-28
Average*	**49,615**		**12.2**	**208.8%**	**13.264%**	**13.768%**	**13.577%**	**60.388**

*Source: CBK, AIB-AXYS Research, *- Yearly average results excludes tap sales*



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